The U.S. Dollar Doom Loop: A Research Analysis (Revised)

Abstract

This paper examines the risks of a U.S. dollar “doom loop”, a feedback cycle between inflation, debt issuance, and weakening global demand. Using a phased framework, it shows that Phase 1 stress is already underway, while Phases 2–4 could emerge if current trends persist. Historical precedent (2008, 2020) suggests why past monetary expansions worked, and why they may now be constrained. Policy reforms could mitigate risks, but absent action, dollar primacy faces gradual erosion. For example, 20-year Treasury auction bid-to-cover ratios fell from 2.6 in March 2025 to 2.1 by August 2025 (Reuters). Meanwhile, CPI rose to 2.9% year-over-year in August 2025, up from 2.7% in July (Bureau of Labor Statistics), and the U.S. Dollar Index (DXY) slipped from 105 in June to 101 in August 2025 (J.P. Morgan).

Overview & Background

The U.S. dollar has served as the world’s primary reserve currency since the mid-20th century, enabling the United States to finance large deficits and act as global lender of last resort. In 2008–2009 and again in 2020, the Federal Reserve (Fed) expanded its balance sheet through quantitative easing (QE) and emergency facilities while fiscal authorities delivered significant stimulus. Because global demand for dollars and Treasuries was strong and inflation was subdued, that liquidity was largely absorbed without an inflation spiral. Today, however, the backdrop is different: inflation has proven stickier, interest costs are rising, Treasury issuance is heavy, and BRICS-led settlement alternatives are being piloted. Together, these dynamics constrain the “print our way out” playbook and set up a potential dollar-debt-inflation feedback loop.

Thesis: If inflation remains above target, auction demand softens, and non-USD settlement gains traction, the U.S. risks a multi-phase doom loop in which a weaker dollar, higher funding costs, and policy constraints reinforce one another.

Phase 1 — Initial Stress (0–6 months): What’s underway right now

Mechanics:
- Heavy Treasury issuance runs into softer foreign demand; bid-to-cover ratios wobble.
- Disinflation stalls: headline CPI hesitates near 3% and core stays above target.
- The Fed is pinned at high policy rates amid above-target inflation and financial-stability risks.
- BRICS/Global South pilot blockchain-based settlement rails for selected commodities.

Signs already visible:
- CPI data show a pause in disinflation.
- Sticky-Price CPI reflects persistent services/rent pressures.
- 20-year auction bid-to-cover ratios illustrate softening demand.
- The U.S. Dollar Index suggests the dollar is not strengthening despite high U.S. yields.

Phase-one conclusion: Sticky inflation, weakening auction metrics, and credible alternatives for settlement indicate Phase 1 has begun.

Visuals

Figure 1: U.S. CPI (YoY, %) – pause in disinflation.

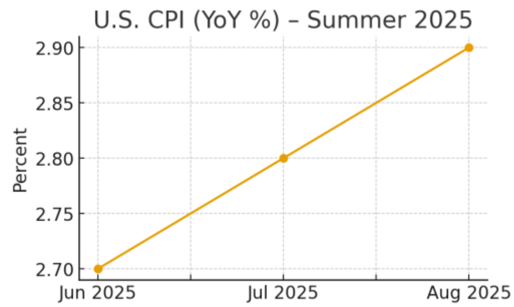


Figure 2: Sticky-Price CPI (YoY, %) – persistent pressures.

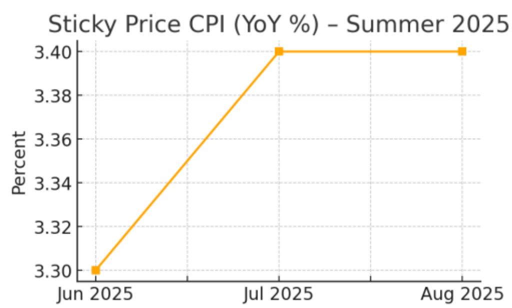


Figure 3: 20-Year Treasury Auction Bid-to-Cover – weakening demand.

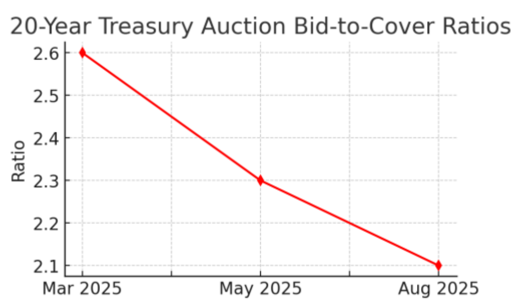
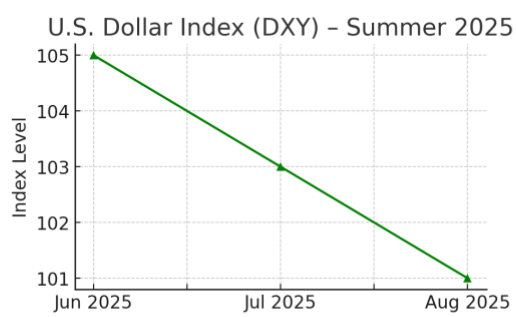


Figure 4: U.S. Dollar Index (DXY) – early weakening despite yields.



Phase 2 — Recession and Bailouts (6–18 months)

As growth slows, earnings fall and layoffs lift unemployment above 5%. Regional banks with commercial-real-estate exposure face solvency scares. The Fed expands liquidity facilities (repos, discount window, swap lines) and its balance sheet grows again—even as inflation runs 2.5–3.5%. Headlines of “printing into inflation” erode credibility and introduce a stagflation narrative.

Phase 3 — Confidence Erodes (1.5–3 years)

Debt service climbs toward >20% of federal revenues(project to exceed 15% in FY 2026). Dealers absorb more issuance as auction demand fragments. BRICS settlement rails scale beyond pilots: oil, metals, and commodities clear in non-USD pairs, trimming transactional dollar demand. Imported-price pass-through from a softer dollar keeps inflation elevated (3.5–5%). IMF COFER data reflect a gradual drop in the dollar share of reserves.

Phase 4 — The Doom Loop (2–4 years)

A weaker dollar → higher import costs → stickier inflation (4–6%) → higher yields and debt service → more issuance/QE risk → renewed dollar weakness. The Fed is trapped: ease to save growth/credit and risk currency/inflation slippage, or tighten and risk defaults/unemployment. BRICS adoption across ASEAN, Africa, and the Gulf reduces structural USD demand, making stabilization costlier.

Figure 5: Doom Loop Feedback Cycle – Weak USD → Import Inflation → Higher Debt Costs → More Issuance/Interventions → Weaker USD.

2008 & 2020: Why “printing” worked then—and why it’s constrained now

2008–2009: QE recapitalized banks as private credit collapsed; global risk aversion spiked demand for Treasuries and dollars; output gaps were large; inflation was subdued; USD dominance uncontested.

2020: Shock was exogenous; policy delivered both monetary and fiscal firepower; the world still needed USD liquidity; inflation lagged initially.

Today’s constraints:
- Stickier domestic inflation from services/shelter.
- Higher structural deficits and interest costs.

- Alternative settlement rails reduce global absorption of new liquidity.
- Balance-sheet expansion risks unanchoring expectations.

Counterclaims & Rebuttals

Counterclaim 1: The dollar's reserve status guarantees dominance.
Rebuttal: Dominance can erode gradually. Multilateral, multi-currency settlement reduces USD flow demand even if reserve stocks stay high.

Counterclaim 2: Inflation will fade as supply chains normalize.
Rebuttal: Normalization has run its course; sticky components and dollar-pass-through limit further disinflation.

Counterclaim 3: The Fed can always print, like 2008 and 2020.
Rebuttal: With alternatives growing and inflation above target, new liquidity risks staying domestic, fueling inflation.

Policy Options

1. Narrow the primary deficit with entitlement reforms and tax base broadening.
2. Lengthen/diversify funding and foster stable investor demand.
3. Re-anchor inflation expectations via restrictive policy and supply-side reforms.
4. Support dollar demand by expanding exports priced in USD and reinforcing alliances.

Implementation barriers: political polarization and timeline mismatches versus market pressures.

Upside Scenario

Upside Scenario: Faster productivity growth from AI adoption, housing and energy supply-side reforms, or bipartisan fiscal consolidation could stabilize inflation and sustain demand for Treasuries. In such a scenario, the dollar's primacy may persist longer, delaying or even averting the doom loop. However, these adjustments often take years to materialize and may only push the problem further into the future rather than resolving the underlying structural imbalances.

Conclusion

Phase 1 conditions—sticky inflation, heavier issuance, softer auctions, and early non-USD settlement experiments—are present now. If renewed liquidity support arrives before inflation is anchored, the U.S. risks transitioning through Phases 2 and 3 into a doom loop. Absent fiscal discipline, credible disinflation, and strategic support for USD demand, the risk of slow erosion in dollar primacy grows.

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